

Candidate predictor

$Q_t$   
Spot-derived

$$R^2 = 0.003$$

**DROP**

$$R^2 = 0.035$$

**RETAIN**

$R_t$   
Realised

Own history  
(persistence)

$$R^2 = 0.034$$

**RETAIN**

$I_t$   
Implied

$$R^2 = 0.171$$

**RETAIN**

Own history  
(persistence)

$R_t$   
Realised variance

$I_t$   
Implied variance

Target state

